Group 2

Where should we look first?

Melbourne Airbnb
A focused search before signing a lease

Start with City of Melbourne 2–3-bedroom apartments.

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THE CLIENT'S PROBLEM

Choosing a property before costs begin

The client plans to lease homes and offer short stays.

Rent stays due when bookings fall.

THE BUSINESS QUESTION

Which homes deserve our limited search time?

THE ANALYTICAL QUESTION

Which property features relate to stronger past review activity?

A useful shortlist comes before permissions, quotes and a lease decision.

Source: project brief. Review activity supports an initial search before individual property checks.

A fair comparison starts with similar homes

25,728
source listings

3,873
comparable listings

1,726
distinct hosts

Entire apartments and houses, 1–3 bedrooms, usable prices and at least one year since the first recorded review.

Our outcome: 30+ reviews in the previous 365 days.

906 separate reference listings set the cutoff.
25.3% of the analysis sample met it.

Source: subject-supplied Inside Airbnb data, collected 17 Jun–1 Jul 2026.

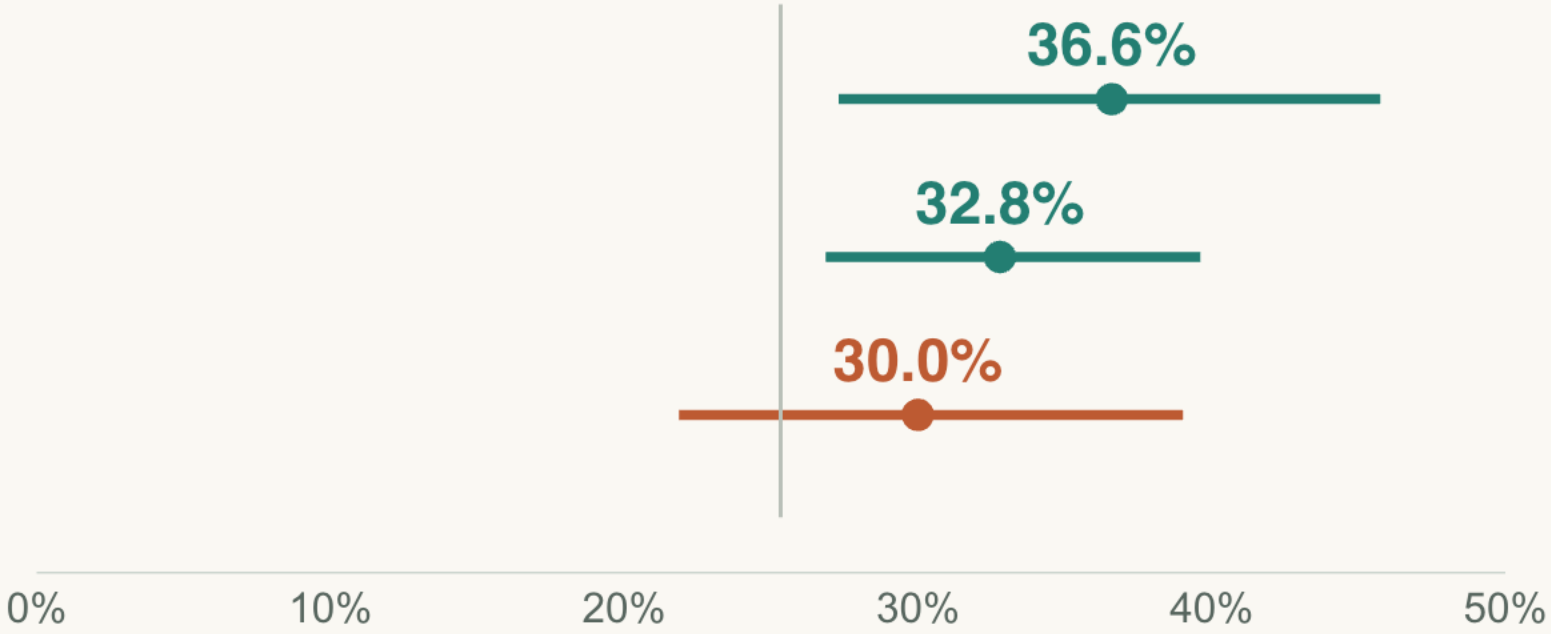
City of Melbourne apartments lead the search

Share reaching 30+ reviews: leading groups among 14 eligible groups

City of Melbourne
3BR apartments (n=306)

City of Melbourne
2BR apartments (n=1,235)

Yarra Ranges
3BR houses/townhouses (n=90)



Dots show observed shares. Lines show 90% ranges.

Grey line: all 14 eligible groups combined, 25.3%.

Three promising options. Check quotes and permissions.

Source: observed segment shares; 90% uncertainty ranges from resampling hosts.

OUR METHOD

What the historical ranking score uses

Outcome (Y): 30+ reviews in the previous 365 days, yes or no.

SIX INPUTS (X)

Council area
Dwelling type
Bedrooms
Price relative to peers
Accepts one-night stays
Amenity count

LOGISTIC REGRESSION

Combines six features.

Output: a historical ranking score.

Use the score to decide which homes to investigate.

TWO CONSISTENT ASSOCIATIONS

Accepts one-night stays

More likely to have reached 30 reviews

Price above similar homes

Less likely to have reached 30 reviews

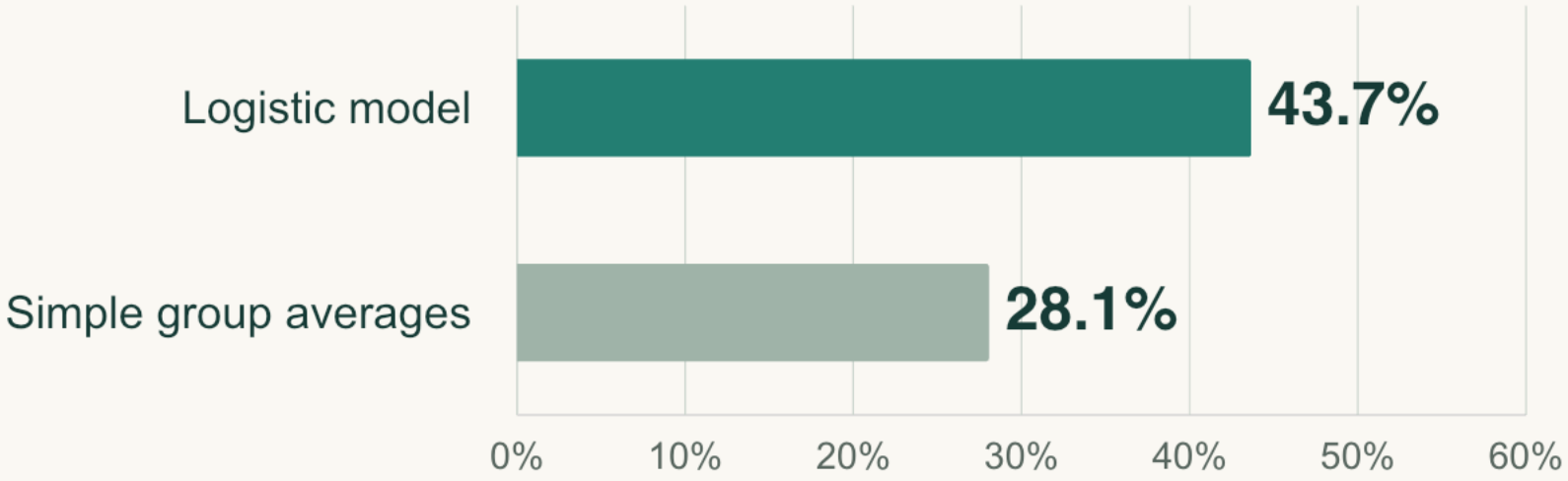
Final main model: logistic regression for clarity. Interim random forest remains a benchmark.

Conditional associations, with other inputs held constant. Current settings may differ from the review year.

The model found more high-review homes

Historical test across all 3,873 eligible homes

Share of selected homes reaching 30+ reviews



423 / 969

selected homes met the review target.



546 did not meet it.

About 16 more target-reaching homes for every 100 selected.

Test hosts were excluded from training. Future bookings and profit remain untested.

Five host-grouped folds. Same expected screening quota: 969 homes. Ties share the remaining quota.

The same three groups stayed ahead

Same 2,657 surviving homes. Two windows from one snapshot.

A separate check uses 34 reviews as the target in both years.

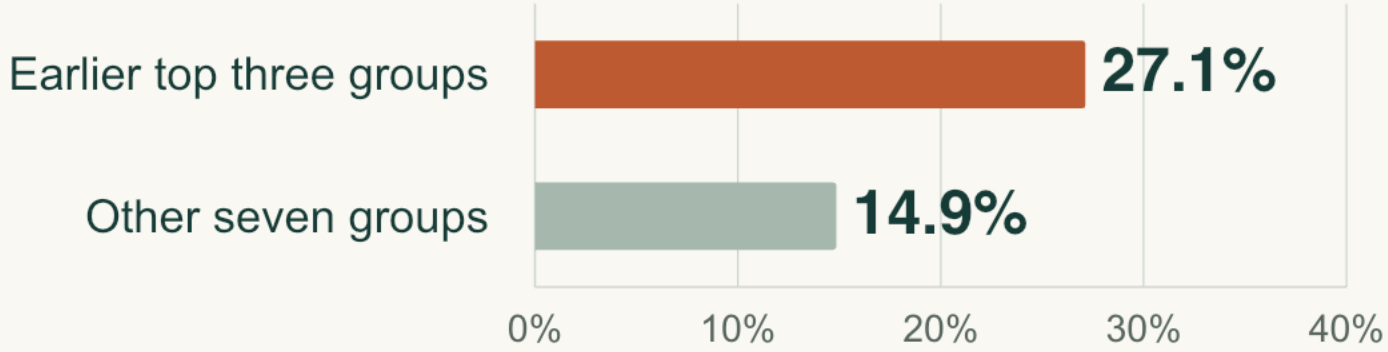
2024–25

Select the three leading property groups.

2025–26

Check the same surviving homes again.

Reached 34+ reviews in the second year



Supports where to search.
Future model performance remains untested.

Source: one supplied snapshot of dated reviews; earlier reference sample sets 34. Same three groups as slide 4.

Two gates before any lease

01 PERMISSIONS

Confirm landlord consent and applicable building and local requirements.

02 CONSERVATIVE CASH FLOW

Use real quotes and cautious income assumptions. Cover rent, operating costs, setup allowance and a buffer agreed with the client.

Reject a candidate that fails either gate.



Illustrative render

Client decision framework. Check actual permissions and use explicit, conservative financial assumptions.

RECOMMENDATIONS

A 30-day search with clear stop rules

WEEK 1

Property scout

Find 10 candidates. Start with city apartments.

Keep Yarra Ranges as a backup.

WEEKS 2–3

Operator and analyst

Verify permissions, quotes and cash flow.

Reject a home if either gate fails.

WEEK 4

Business owner

Compare the survivors. Decide on a small trial.

Proceed only if both gates pass.

During a trial, track paid nights, cleaning workload and net cash flow.

Proposed workflow. Thirty days and ten candidates are planning choices, not model-derived optima.

THE DECISION TODAY

Approve a focused search.

30 days. 10 candidates.
City of Melbourne apartments first.
Yarra Ranges houses as backup.

Every lease still needs permission and a viable cash-flow case.

Thank you. Questions?



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